

Module 6

Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

Consolidated statement of financial position as at 30 September 2021:

	PHL HK\$	CLL HK\$	Dr HK\$	Cr HK\$	Group HK\$
ASSETS					
Property, plant, and equipment	3,650,000	2,360,000		(500,000) ¹	5,510,000
Accumulated depreciation	(1,250,000)	(1,160,000) ¹	620,000		(1,790,000)
Investment in CLL	1,540,000	-		(1,540,000) ³	-
Financial assets	968,500	204,000			1,172,500
Inventory	787,500	610,600		(25,000) ⁶	1,373,100
Receivables	320,000	175,000			495,000
Goodwill	-	- ³	48,000		
				(26,300) ⁴	21,700
Total assets	<u>6,016,000</u>	<u>2,189,600</u>			<u>6,782,300</u>
EQUITY AND LIABILITIES					
Retained earnings					
1 Oct 2020	(1,312,000)	(962,000) ¹⁻³	940,000		(1,327,400)
		⁷	6,600		
Profit for the year	(458,000)	(213,200)			(445,330)
Dividends paid	<u>290,000</u>	<u>140,000</u>		(140,000) ⁵	<u>290,000</u>
Retained earnings					
30 Sep 2021	(1,480,000)	(1,035,200)			(1,482,730)
Share capital	(3,900,000)	(900,000) ³	900,000		(3,900,000)
General reserves	(459,000)	(152,000) ³	152,000		(459,000)
Non-controlling interests				(660,000) ³	
		⁵	42,000		
				(6,600) ⁷	
				(36,570) ⁸	(661,170)
Total equity	<u>(5,839,000)</u>	<u>(2,087,200)</u>			<u>(6,502,900)</u>
Total liabilities	<u>(177,000)</u>	<u>(102,400)</u>			<u>(279,400)</u>
Total equity and liabilities	<u>(6,016,000)</u>	<u>(2,189,600)</u>			<u>(6,782,300)</u>

Consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2021:

	PHL HK\$	CLL HK\$	Dr HK\$	Cr HK\$	Group HK\$
Sale revenues	(878,900)	(388,900) ⁶	150,000		(1,117,800)
Cost of sales	374,400	112,400		(125,000) ⁶	361,800
Gross profit	(504,500)	(276,500)			(756,000)
Other revenues	(282,100)	(102,500) ⁵	98,000		(286,600)
Other expenses	216,200	115,800 ¹	40,000		
		⁴	26,300		398,300
Profit before tax	(570,400)	(263,200)			(644,300)
Income tax expense	112,400	50,000			162,400
Profit for the period	(458,000)	(213,200)			(481,900)
NCI share of profit or loss	-	- ⁸	36,570		36,570
Profit or loss to parent's owners	-	-			(445,330)

The following journal entries are not required by the question

(1) Revaluation of equipment of CLL on acquisition (equipment has been depreciated for two years)

DR	Accumulated Depreciation – Equipment	HK\$700,000	
CR	Business Combination Valuation Reserve		HK\$200,000
CR	Equipment		HK\$500,000
DR	Depreciation Expense (HK\$200,000 / 5 years)	HK\$40,000	
DR	Retained Earnings (opening)	HK\$40,000	
CR	Accumulated Depreciation – Equipment		HK\$80,000

(2) Revaluation of inventory of CLL on acquisition (all sold in prior year)

DR	Retained Earnings (opening)	HK\$100,000	
CR	Business Combination Valuation Reserve		HK\$100,000

(3) Elimination of investment in CLL

DR	Share Capital	HK\$900,000	
DR	General Reserves	HK\$152,000	
DR	Retained Earnings (opening)	HK\$800,000	
DR	Business Combination Valuation Reserve	HK\$300,000	
DR	Goodwill	HK\$48,000	
CR	Investment in CLL		HK\$1,540,000
CR	Non-controlling Interests		HK\$660,000

Alternatively, combining entries (1) to (3):

DR	Share Capital	HK\$900,000	
DR	General Reserve	HK\$152,000	
DR	Retained Earnings (opening)	HK\$940,000	
DR	Goodwill	HK\$48,000	
DR	Accumulated depreciation - Equipment	HK\$620,000	
DR	Depreciation Expense – Equipment	HK\$40,000	
	CR Investment in CLL		HK\$1,540,000
	CR Non-controlling Interests		HK\$660,000
	CR Equipment		HK\$500,000
(4) Impairment of goodwill (in current year)			
DR	Goodwill impairment loss	HK\$26,300	
	CR Goodwill		HK\$26,300
(5) Elimination of intra-group dividend			
DR	Dividend Revenue HK\$140,000 x 70%	HK\$98,000	
DR	Non-controlling Interests HK\$140,000 x 30%	HK\$42,000	
	CR Dividend Paid		HK\$140,000
(6) Elimination of unrealised profit in intra-group inventory transfer (upstream)			
DR	Sales	HK\$150,000	
	CR Cost of Sales		HK\$125,000
	CR Inventory		HK\$25,000
	HK\$(150,000 – 150,000 / 1.2) = HK\$25,000		
(7) NCI share of retained earnings in CLL (from acquisition date to beginning of current year)			
DR	Retained Earnings (opening)	HK\$6,600	
	CR Non-controlling Interests		HK\$6,600
	HK\$(962,000 – 940,000) x 30% = HK\$6,600		
(8) NCI share of current year profit or loss in CLL			
DR	Income to Non-controlling Interests	HK\$36,570	
	CR Non-controlling Interests		HK\$36,570
	HK\$(213,200 - 40,000 – 26,300 – 25,000) x 30% = HK\$36,570		

Answer 1(b)

The four enhancing qualitative characteristics are:

Comparability: Making decisions about one entity may be enhanced if comparable information is available about similar entities.

Verifiability: To assure users that information faithfully represents the economic phenomena that it purports to represent.

Timeliness: Having information available to decision makers before it loses its capacity to influence decisions. If such capacity is lost, the information will lose its relevance.

Understandability: Information may be more understandable if it is classified, characterised, and presented clearly and concisely.

These characteristics are complementary to the fundamental characteristics (relevance and faithful representation). They distinguish more useful information from less useful information.

Answer 2

Violet Limited
Statement of Cash Flows for the year ended 31 March 2021

	<u>HK\$'000</u>	<u>HK\$'000</u>
<u>Cash flows from operating activities</u>		
Cash receipts from customers (W1)	840,800	
Cash paid to suppliers for purchases of inventory (W2)	(497,500)	
Cash paid to suppliers for services (W3)	(57,800)	
Cash paid to employees (W4)	<u>(164,400)</u>	
Cash generated from operations	121,100	
Interest received (W5)	6,250	
Interest paid (W6)	(1,200)	
Income taxes paid (W7)	<u>(37,500)</u>	
Net cash from operating activities		88,650
<u>Cash flows from investing activities</u>		
Purchase of intangibles	(15,000)	
Purchase of equipment	(50,000)	
Proceeds from sale of plant (W8)	<u>27,300</u>	
Net cash used in investing activities		(37,700)
<u>Cash flows from financing activities</u>		
Proceeds from borrowings HK\$(78,000 – 65,000)	13,000	
Dividends paid (W9)	<u>(69,270)</u>	
Net cash used in financing activities		<u>(56,270)</u>
Net increase/(decrease) in cash and cash equivalents		(5,320)
Cash and cash equivalents at 1 Apr 2020		<u>62,200</u>
Cash and cash equivalents at 31 Mar 2021		<u><u>56,880</u></u>

Workings:

W1 – Cash receipts from customers

	<u>HK\$'000</u>
Sales revenues	848,000
+ Beginning trade receivables	72,300
- Cash receipts from customers	<u>(840,800)</u>
Ending trade receivables	<u><u>79,500</u></u>

W2 – Cash paid to suppliers for purchases of inventory

	<u>HK\$'000</u>
Cost of sales	493,000
+ Increase in inventory HK\$(73,300 – 64,600)	8,700
- Increase in trade payables HK\$(29,700 – 25,500)	<u>(4,200)</u>
Cash paid to suppliers of purchases of inventory	<u>497,500</u>

W3 – Cash paid to suppliers for services

	<u>HK\$'000</u>
Other expenses	56,000
+ Increase in prepayments HK\$(9,300 – 8,100)	1,200
+ Decrease in other expenses payable HK\$(3,400 – 2,800)	<u>600</u>
Cash paid to suppliers for services	<u>57,800</u>

W4 – Cash paid to employees

	<u>HK\$'000</u>
Wages and salaries expense	166,000
- Increase in wages and salaries payable HK\$(25,600 – 24,000)	<u>(1,600)</u>
Cash paid to employees	<u>164,400</u>

W5 – Interest received

	<u>HK\$'000</u>
Interest revenue	5,200
+ Decrease in interest receivable HK\$(2,150 – 1,100)	<u>1,050</u>
Interest received	<u>6,250</u>

W6 – Interest paid

	<u>HK\$'000</u>
Interest expense	4,100
- Increase in accrued interest HK\$(5,200 – 2,300)	<u>(2,900)</u>
Interest paid	<u>1,200</u>

W7 – Income taxes paid

	<u>HK\$'000</u>
Opening balance of tax payable	14,000
+ Income tax expense	39,500
- Income tax paid	<u>(37,500)</u>
Closing balance of tax payable	<u>16,000</u>

W8 – Cash proceeds from sale of plant

(a)

	<u>HK\$'000</u>
Opening balance of plant and equipment	150,000
+ Purchases	50,000
- Disposals (carrying amount of plant sold)	(13,300)
- Depreciation for the year	<u>(21,700)</u>
Closing balance of plant and equipment	<u><u>165,000</u></u>

(b)

	<u>HK\$'000</u>
Carrying amount of plant sold	13,300
+ Gain on sale of plant	<u>14,000</u>
Cash proceeds from sale of plant	<u>27,300</u>

W9 – Cash dividends paid

	<u>HK\$'000</u>
Beginning retained earnings	37,150
+ Profit for the year	86,900
- Dividends paid	<u>(69,270)</u>
Ending retained earnings	<u><u>54,780</u></u>

Answer 3

1. According to HKAS 10.3, events that provide evidence of conditions that existed at the end of the reporting period are adjusting events.

The receipt of information after the reporting period indicates that an asset was impaired at the end of the reporting period, or that the amount of a previously recognised impairment loss for that asset needs to be adjusted. For example, the sale of inventories after the reporting period may give evidence about their net realisable value at the end of the reporting period [HKAS 10.9(b)(ii)].

The launch of M6 on 5 July 2021 had made the M5 inventory obsolete. As such, the release of M6, and the subsequent reduction in the selling price of M5, provided information to BEL on the value of inventory as at the end of the reporting period (30 June 2021). Therefore, it was an adjusting event.

Since it was an adjusting event, BEL had to adjust amounts recognised in its statement of financial position for the inventory and write down to its net realisable value.

BEL would record the following journal entry as of 30 June 2021:

DR	Loss on inventory write down	HK\$77,120	
	CR Finished goods inventory		HK\$77,120
	(HK\$385,600 x 20%)		

2. According to HKAS 10.3, events that reflect circumstances that arose after the end of the reporting period are non-adjusting events.

In this instance, the circumstance that arose after the end of the reporting period was the bad news to MAL on 20 August 2021. The decline in value of the company's shareholding in MAL on 20 August 2021 did not relate to the condition of such shareholding at the end of the reporting period (30 June 2021), and, as such, it was a non-adjusting event.

Since it was a non-adjusting event, the company would not adjust the amounts recognised for its equity investment in MAL as at the end of the reporting period (30 June 2021), although it might need to give additional disclosure.

3. The declaration of dividends on 1 September 2021 was a non-adjusting event.

The declaration of dividends was indicative of conditions that arose subsequent to the reporting period because there was no present obligation for the entity to pay the dividends at the end of the reporting period.

Dividends declared were disclosed in accordance with HKAS 1, and did not need to satisfy the HKAS 10 materiality threshold to warrant disclosure.

Answer 4(a)

Tower A is reclassified from an owner-occupied property under HKAS 16 to an investment property under HKAS 40 upon the end of the owner-occupation on 31 March 2021.

Tower B is reclassified from an investment property under HKAS 40 to an owner-occupied property under HKAS 16 upon commencement of occupation for own use at 31 March 2021.

Tower A	Investment property (under HKAS 40) stated at fair value of HK\$41.2 million
Tower B	Owner-occupied property (under HKAS 16) stated at cost model Deemed cost at 31 March 2021: fair value of HK\$50.0 million

Answer 4(b)

Amounts recognised in the statement of profit or loss for the year ended 31 March 2021:

Fair value gain on investment properties (P/L)

Tower B: HK\$50.0 million – HK\$48.5 million = HK\$1.5 million

Depreciation of owner-occupied properties

Tower A: HK\$28 million / 50 = HK\$0.56 million

Amount recognised in the other comprehensive income for the year ended 31 March 2021:

Revaluation gain on reclassification of owner-occupied property to investment property (OCI)

Tower A: HK\$41.2 million – (HK\$22.4 million – HK\$0.56 million) = HK\$19.36 million

Answer 5(a)

On 1 July 2020:

DR	Cash	HK\$948,500	
	CR	Bonds Payable	HK\$948,500

Note: Initial recognition of bonds issued at fair value including transaction costs:
HK\$1,000,000 – HK\$51,500 = HK\$948,500

For the year ended 30 June 2021:

DR	Interest Expense (HK\$948,500 x 11.41%)	HK\$108,224	
	CR	Cash (HK\$1,000,000 x 10%)	HK\$100,000
	CR	Bonds Payable (balance)	HK\$8,224

Answer 5(b)

On 1 July 2020:

DR	Cash	HK\$948,500	
DR	Transaction Costs (profit or loss)	HK\$51,500	
	CR Bonds Payable		HK\$1,000,000

For the year ended 30 June 2021:

DR	Bonds Payable	HK\$43,100	
	CR Fair value gain (profit or loss)		HK\$43,100

Note: Gain from the fair value increase = HK\$1,000,000 – HK\$956,900 = HK\$43,100.

* * * END OF EXAMINATION PAPER * * *